



V-Mart Retail delivered better than expected numbers for Q1FY23 || current numbers include acquisition of Arvind Life stores (Unlimited)

- **Revenue:** grew by 231% YoY to Rs 5878.8mn.
 - 20% of the Revenue was contributed by Unlimited (recent acquisition in South purchased from Arvind Lifestyle).
 - Ex of unlimited stores growth for V-mart Stores was 165% mainly value led aided by price increase.
 - Net Store additions in Q1FY23 was 11
- **EBIDTA** margins improved to 15.1% as against loss last year and 11% QoQ aided by higher gross margins @ 37.3 v/s 35% QoQ and 31% YoY.
- EBIDTA in absolute terms stood at 887mn v/s loss YoY and 76% up on a QoQ basis.
- At **PBT** levels the company generated PBT of Rs 278mn as against loss of Rs 385mn YoY and loss of Rs 80mn QoQ
- **Q1FY23 PAT** stood at Rs 204.5mn as against 287mn loss YoY and loss of Rs 26mn QoQ

Outlook

- Gross margins @ 37% not sustainable as V-mart fully passed cotton price inflation and exited of some relevant price-points which impacted sales.
- Un-limited stores performance better than expectations, opened 4 in Q1FY23. Sales-per-sqft @ 15% stores are lower than V-Mart's average.
- Cost-side headwinds to continue

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Nets sales	16,620	10,755	16,662	26,494	31,926
Adjusted net profit	494	(62)	116	749	1,000
Free cash flow	227	469	(621)	2,038	1,904
EPS (Rs)	27.2	(3.1)	5.9	37.8	50.5
P/E (x)	108.2	(935.7)	499.8	77.9	58.3
P/B (x)	11.7	7.0	6.8	6.3	5.7
EV/EBITDA (x)	27.4	48.4	32.7	20.5	17.7
D/E	0.0	-	-	-	-
RoCE (%)	26.1	3.4	8.7	19.6	21.7
RoE (%)	10.8	(0.8)	1.4	8.1	9.8
Dividend yield (%)	0.1	-	-	0.0	0.1

Source: Company

Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	3,407	16

Market data

Current price	Rs	2,949
Market Cap (Rs.Bn)	(Rs Bn)	58
Market Cap (US\$ Mn)	(US\$ Mn)	735
Face Value	Rs	10
52 Weeks High/Low	Rs	4848.8 / 2406
Average Daily Volume	('000)	16
BSE Code		534976
Bloomberg		VMART.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	46.14	46.20
Public	53.86	53.80
Total	100	100

Source: BSE

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Conference Call Key Takeaways

DEMAND

- Urban and Tier-1 doing better v/s Tier-2 and rural supported by higher per-capita income. May and June months were subdued.
- Footfalls still lower v/s Pre-Covid levels
- Inflation-impact on rural and Tier-2,3 and 4 consumers (people with income levels of Rs15k to 40Kper month) was much higher. Food inflation took away spending power.

Gross Margins

- Discounts were held back
- Gross margins @ 37% not sustainable
- Entire inflation (on account of cotton yarn) was passed on to the consumers
- 17-18% price increase was taken in the last year.
- Some Price points were vacated
- Shrinkage for Q1FY23 was @ 0.05% v/s -0.6%v/s QoQ and +4.9% YoY

COMPETITION: has increased

- Organized and Premium nationalized players are expanding in V-marts target markets which do impact footfalls initially.
- No of stores of competitors; Pre-pandemic to post pandemic have doubled in some markets and markets in general has not grown
- Organized share in-general has increased.

UNLIMITED integration (business performance better than expectations)

- Revenue for Q1FY23 stood at Rs 1175mn v/s Rs 734mn in Q4FY22 and for FY22 stood at Rs 2166mn (7 months)
- Mall stores did well
- Average sales-per sqft coming to the levels of V-mart (i.e. Rs 700/sqft). 15-20% Unlimited stores are below this average.
- 4 stores added in Q1FY23 and another 2 in pipeline

ONLINE business

- Contributed 2% to Sales target intact to reach 5% in next 2 to 3 years.
- Myntra tie-up doing well. 90 Stores omni-enabled
-

OTHER FINANCIALS

- Capex FY23 ~Rs 1.5bn (Rs 600-700mn towards warehouse + Rs 600mn towards 60 stores + 0.6 to 0.7mn towards inventory for new stores)

- East-India also being focused with larger size of stores.
- INVENTORY- days slightly higher on account of preparation for season || South slightly higher as experimenting with new concepts to gauge appetite of South Customers.
- RENTALS- VMart store average @ Rs35-36/sqft, Unlimited legacy stores @ Rs 75/ sqft , however newer Unlimited stores at Rs 30-35 per sqft
- 80% products sold a year are fully priced

Quarterly Performance Analysis

Exhibit 1

Particulars (Rs Mns)	Q1FY23	Q1FY22	YoY (%)	Q4FY22	QoQ (%)
Revenue	5878.8	1774.1	231.4	4587.8	28.1
Other Income	40.9	45.1	(9.3)	27.9	46.5
Total	5919.7	1819.2	225.4	4615.7	28.3
Total RM Cost	3686.4	1224.0	201.2	2985.3	23.5
Gross Profit	2192.5	550.1	298.5	1602.4	36.8
Employee Cost	552.1	334.3	65.2	510.7	8.1
Other Expenses	753.2	235.4	220.0	588.5	28.0
Total	4991.7	1793.7	178.3	4084.5	22.2
EBIDTA	887.1	-19.6	(4,627.6)	503.2	76.3
Depreciation	402.4	254.7	58.0	376.0	7.0
EBIT	525.6	-229.3	(329.2)	155.2	238.7
Interest Cost	247.2	155.9	58.6	235.2	5.1
PBT and exceptional item	278.4	-385.1	(172.3)	-80.1	(447.6)
exceptional item	0.0	0.0		0.0	
PBT	278.4	-385.1	(172.3)	-80.1	(447.6)
Taxes	73.8	-98.0		-53.9	
Reported PAT	204.5	-287.1	(171.2)	-26.1	(882.8)
EPS	10.3	-14.6		-1.3	
as a % to sales					
RM	62.7%	69.0%		65.1%	
GPM	37.3%	31.0%		34.9%	
Employee Costs	9.4%	18.8%		11.1%	
Other expenses	12.8%	13.3%		12.8%	
OPM	15.1%	-1.1%		11.0%	
Tax rate (on PBT)	26.5%	25.4%		67.4%	

Source: Dalal & Broacha Research, Company

Exhibit 2

Particulars	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23
Stores	266	264	274	279	282	368	374	380	391
Net Additions	0	-2	10	5	3	86	6	6	11
Retail Space YTD in lacs Sq feet	22.2	22.0	23.0	23.00	23.20	31.99	33.00	33.00	34.00
Sales Per Sq Ft Per Mth In Rs as per Presentation	357	299	895	569	533	347.00	860.00	380.00	626.00
SSS Growth YTD									
- Value %	-85%	-71%	-50%	-40%	119%	82%	36%	23%	137%
- Volume %	-84%	-69%	-52%	-41%	103%	75%	39%	21%	124%
Segment Contribution									
-Fashion (%)	90	91	92	91	91	91	93	91	91
-Kirana (%)	10	9	8	9	9	9	7	9	9
Total	100	100	100	100	100	100	100	100	100
Sales Mix									
Apparels (%)	78.3	79.3	79.3	77.9	80	79.4	81.6	80.1	80.7
Non Apparels (%)	11.2	12.1	14	12.7	10.7	11.2	11.1	10.8	9.9
Kirana (%)	10.5	8.6	6.7	9.4	9.3	9.4	7.3	9.1	9.4
Total	100	100	100	100	100	100	100	100	100

Source: Dalal & Broacha Research, Company

Exhibit 3

Particulars	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23
FootFall (lacs)	15	35	83	72	31	66	111	80	102
Conversion Rate	68%	60%	62%	61.10%	70.70%	64.60%	60.60%	63.00%	62.20%
Shrinkage	10%	NA	NA	1.30%	4.90%	NA	NA	-0.60%	0.05%
Average Selling Price (Rs)									
Total (Rs)	179	183	262	202	193	197	292	244	233
Total Vmart								220	
Total Unlimited								523	
Apparels (Rs.)	247	254	446	327	295	302	503	411	370
Apparels Vmart								384	
Apparels Unlimited								568	
Transaction size (Rs)	824	844	968	851	848	838	1096	981	994
Vmart								898	
Unlimited								1776	
Store Count YTD	266	264	274	279	282	368	374	380	391
Tier 1	59	59	63	65	65	100	100	104	105
Tier 2	35	35	37	37	38	56	55	54	54
Tier 3	139	138	140	142	143	157	162	166	172
Tier 4	33	32	34	35	36	55	57	56	60
Store allocation	100%	100%	100%	100%	100%	100%	100%	100%	100%
Tier 1 %	22%	22%	23%	23%	23%	27%	27%	27%	27%
Tier 2 %	13%	13%	14%	13%	13%	15%	15%	14%	14%
Tier 3 %	52%	52%	51%	51%	51%	43%	43%	44%	44%
Tier 4 %	12%	12%	12%	13%	13%	15%	15%	15%	15%

Source: Dalal & Broacha Research, Company

Valuation

We expect V-Mart's operating margins for Q2FY23 would be impacted on account of price corrective actions. Rise in competition and lower rural demand might hamper growth as well. Even though the long-term business prospects remain very optimistic we expect stock price on short-to-medium term basis to move in a narrow range.

Valuation: We have reworked our numbers and for FY23e and FY24e on EV/EBITDA basis, the stock trades at 20.5x and 17.7x respectively We value the company at 20x EV/EBIDTA on FY24 numbers to arrive at a target price of Rs. 3407, i.e 16% upside.

We had maintain **Accumulate**.

Financial

V-Mart Retail Ltd											
P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	16,620.2	10,754.6	16,661.8	26,494.3	31,925.6	Net Profit	494.1	(62.0)	116.4	748.7	999.8
Cost of sales	(14,482.7)	(9,442.5)	(14,618.5)	(23,106.0)	(27,943.7)	Add: Dep. & Amort	939.2	1,029.7	1,307.0	1,584.0	1,773.2
Operating Profit	2,137.5	1,312.1	2,043.3	3,388.3	3,982.0	Cash profits	1,433.3	967.7	1,423.4	2,332.7	2,773.0
Depreciation	(939.2)	(1,029.7)	(1,307.0)	(1,584.0)	(1,773.2)	(Inc)/Dec in					
PBIT	1,198.3	282.4	736.3	1,804.2	2,208.8	-Sundry debtors	-	-	-	-	-
Other income	45.5	210.4	139.6	221.1	246.8	-Inventories	(1,489.4)	496.1	(2,399.2)	(1,302.4)	(1,199.5)
Interest	(547.8)	(589.5)	(771.9)	(1,024.5)	(1,119.5)	-Loans/advances	(22.6)	(9.8)	123.8	-	-
Profit before tax	695.9	(96.6)	104.0	1,000.9	1,336.0	'-Current Liab and Provisions	254.6	(145.0)	1,141.5	1,913.7	609.1
Exceptional and Extra Ordin	-	-	-	-	-	'- Other Non Current Assets	(8.1)	(794.7)	0.1	(145.7)	(87.4)
PBT (Post Extra Ordinary)	695.9	(96.6)	104.0	1,000.9	1,336.0	Change in working capital	(1,265.4)	(453.3)	(1,133.7)	465.6	(677.9)
Provision for tax	(201.9)	34.6	12.4	(252.2)	(336.3)	CF from Oper. activities	167.9	514.4	289.7	2,798.3	2,095.1
Reported PAT	494.1	(62.0)	116.4	748.7	999.8	CF from Inv. activities	(245.0)	(3,911.5)	(207.8)	(2,117.9)	(2,003.0)
MI	-	-	-	-	-	CF from Fin. activities	(29.1)	3,621.9	(6.0)	(70.7)	(50.0)
Adjusted PAT	494.1	(62.0)	116.4	748.7	999.8	Cash generated/(utilised)	(106.2)	224.8	75.8	609.7	42.1
						Cash at start of the year	156.1	49.9	274.7	350.5	960.2
						Cash at end of the year	49.9	274.7	350.5	960.2	1,002.3

Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	181.5	197.0	197.5	198.0	198.0	OPM	12.9	12.2	12.3	12.8	12.5
Reserves	4,407.8	8,055.2	8,298.7	9,009.9	9,959.7	NPM	3.0	(0.6)	0.7	2.8	3.1
Net worth	4,589.3	8,252.2	8,496.2	9,207.9	10,157.7	Tax rate	(29.0)	(35.8)	11.9	(25.2)	(25.2)
Non Current Liabilities	4,439.6	5,381.3	8,538.0	11,375.6	12,420.1	Growth Ratios (%)					
Current Liabilities	3,207.6	2,631.9	3,960.6	6,066.9	6,749.5	Net Sales	15.9	(35.3)	54.9	59.0	20.5
CAPITAL EMPLOYED	12,236.5	16,265.4	20,994.8	26,650.5	29,327.2	Operating Profit	60.9	(38.6)	55.7	65.8	17.5
Non Current Assets	7,060.6	7,446.2	11,597.7	15,304.2	16,651.9	PBIT	13.9	(76.4)	160.7	145.0	22.4
Fixed Assets	6,695.1	6,987.4	11,173.6	14,873.2	16,220.9	PAT	(24.8)	(112.6)	(287.7)	543.1	33.5
Non Current Investments	33.2	36.2	37.8	11.0	11.0	Per Share (Rs.)					
Deferred Tax Asset	160.1	252.7	386.3	420.0	420.0	Net Earnings (EPS)	27.2	(3.1)	5.9	37.8	50.5
Long Term Loans and Advan	118.9	128.3	-	-	-	Cash Earnings (CPS)	79.0	49.1	72.1	117.8	140.1
Other NON Current Assets	53.4	41.6	413.8	464.3	469.1	Dividend	1.7	-	-	0.8	2.0
Current Assets	5,175.9	8,819.2	8,983.4	10,882.0	12,206.2	Book Value	252.8	418.8	430.2	465.1	513.0
Current investments	45.8	3,153.6	1,210.6	1,102.0	1,102.0	Free Cash Flow	(4.2)	(172.4)	4.1	34.4	4.7
Inventories	4,779.2	4,283.1	6,682.2	7,984.6	9,184.1	Valuation Ratios					
Trade Receivables	-	-	-	-	-	P/E(x)	108.2	(935.7)	499.8	77.9	58.3
Cash and Bank Balances	49.9	274.7	350.5	960.2	1,002.3	P/B(x)	11.7	7.0	6.8	6.3	5.7
Short Term Loans and Advan	0.3	0.7	5.2	5.2	5.2	EV/EBIDTA(x)	27.4	48.4	32.7	20.5	17.7
Other Current Assets	300.7	1,107.2	734.9	830.0	912.6	Div. Yield(%)	0.1	-	-	0.0	0.1
						FCF Yield(%)	(0.1)	(5.9)	0.1	1.2	0.2
CAPITAL DEPLOYED	12,236.5	16,265.4	20,994.8	26,650.5	29,327.2	Return Ratios (%)					
						ROE	10.8	(0.8)	1.4	8.1	9.8
						ROCE	26.1	3.4	8.7	19.6	21.7

Source: Dalal & Broacha Research, Company

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